PRIME HOSPITALITY BUSINESS GROUP · SIYONAT BRANCH

Hotel Food & Beverage Cost Control

The Plain English Role-by-Role Operational Handbook & Setup Guide

How to Set Up an Empty System from Scratch and Exactly What Each Staff Role Does Every Day

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Module 1: The Core Philosophy (Why Hotel Cost Control is Different)

In a supermarket, if you buy 100 bottles of shampoo for 200 Birr and sell them for 300 Birr, counting stock is simple: every sale removes exactly 200 Birr from the storeroom.

A hotel kitchen and bar are completely different because food transforms:
You buy a whole beef carcass. The kitchen cuts off bones and fat, slices steaks for *Special Tibs*, minces meat for *Kitfo*, cooks it with onions and spiced butter (*Niter Kibbeh*), serves it on *Injera*, feeds staff on duty, comps meals to VIPs, and sells dishes across 170 buttons on the CNet cash registers.

THE 4 BIG HOLES WHERE HOTEL MONEY DISAPPEARS

1. **Delivery Tricks & Sneaky Prices:** Vendor delivers 47 kg instead of 50 kg, or quietly raises invoice price from 1,400 to 1,500 Birr.
2. **Kitchen Eyeballing (Heavy Hands):** Recipe calls for 200g of meat, but cook serves 280g by hand. That wastes 40% of your meat for free!
3. **Unrecorded Trash & Secret Comps:** Burnt meat or spoiled milk thrown away without writing it down. If unrecorded, management thinks it was stolen.
4. **Bar Stealing & Free Pouring:** Bartenders pouring extra-heavy drinks for tips or taking cash without ringing it on the till.

The Plain English Cost Formula:

> - **Stock Used Up** = Opening Stock + New Deliveries + Transfers In - Transfers Out - Ending Stock
> - **Real Food Cost** = Stock Used Up - Staff Duty Meals - Free VIP Promotions
> - **Food Cost %** = (Real Food Cost ÷ Food Sales on Cash Register) × 100

Golden Rule: Never Mix Food and Drinks Together!
Beverage Cost target is **18% – 22%** (very high profit). Food Cost target is **30% – 34%** (perishable, high prep). Mixing them hides kitchen theft behind beer sales!

ROLE 1 General Manager & System Administrator (Day 0 Clean Slate Setup & Executive Oversight)

When the system is completely empty (after running `npm run db:bare`), the **General Manager / Admin** sets up the foundation. Here are the **12 exact setup steps** with ready-to-enter real data:

Step 1: Create Staff Users (`/setup/users`)

Create login accounts for the other team members and assign them to their stores:

USERNAME	FULL NAME	ROLE DROPDOWN	ASSIGNED STORE	WHAT THEY DO
`admin`	General Manager / Admin	`admin`	`MAIN`	Controls master setup, reviews overall profit and executive reports.
`controller`	Cost Controller	`controller`	`MAIN`	Daily CNet sales upload, approves price variances and waste logs.
`storekeeper`	Central Storekeeper	`storekeeper`	`MAIN`	Weighs morning deliveries (GRN), issues goods to kitchen/bar.
`chef`	Executive Chef	`chef`	`KITCHEN`	1-click par food orders, meat butcher tests, prep cooking, waste logging.
`bar`	Bar Supervisor	`bar`	`BAR`	Orders drinks from store, counts liquor bottles, logs broken bottles.

Step 2: Add Hotel Branch (`/setup/branches`)

Enter: Code = `SIYONAT` | Name = **Siyonat Hotel Branch, Bole, Addis Ababa**.

Step 3: Create Stores & Outlets (`/setup/stores`)

CODE	STORE NAME	KIND	SUPPLY ROUTE (WHERE IT GETS STOCK)
`MAIN`	Central Store (Warehouse)	Warehouse	Direct from external suppliers (Abattoir, BGI, Merkato).
`KITCHEN`	Main Kitchen	Kitchen	Supplied by Central Store (`MAIN`) via Par Requisitions.
`BAR`	Main Bar & Lounge	Bar	Supplied by Central Store (`MAIN`) via Par Requisitions.
`PREP`	Prep & Pastry Kitchen	Prep Station	Takes teff & butter from `MAIN`, bakes Injera and makes sauces.

Step 4: Register Approved Suppliers & Agreed Prices (`/setup/suppliers`)

SUPPLIER CODE & NAME	ITEMS SUPPLIED & AGREED CONTRACT PRICE	VAT %	MOQ & LEAD TIME
`SUP-ADDIS` **Addis Abattoir Enterprise**	• Beef Hindquarter: **1,200 ETB / kg** • Beef Fillet: **1,800 ETB / kg** • Minced Beef: **1,300 ETB / kg**	0% (Raw farm meat)	Min: 20 kg Lead: 1 day
`SUP-BGI` **BGI Ethiopia (St. George)**	• St. George Beer 330ml: **1,080 ETB / crate 24** (45 ETB/btl) • Castel Beer 330ml: **1,200 ETB / crate 24** (50 ETB/btl)	15% VAT	Min: 10 crates Lead: 2 days
`SUP-AMBO` **Ambo Mineral Water**	• Ambo Sparkling 500ml: **672 ETB / crate 24** (28 ETB/btl)	15% VAT	Min: 5 crates Lead: 1 day
`SUP-MERKATO` **Merkato Grain & Spice**	• White Magna Teff: **6,500 ETB / 50kg bag** (130 ETB/kg) • Red Onions: **85 ETB / kg** (2,125 ETB/25kg sack) • Sunflower Oil: **6,400 ETB / 20L can** (320 ETB/L)	0% (Grains / veg)	Min: 2 bags Lead: 2 days
`SUP-MAMMA` **Mamma Mia Dairy Farm**	• Cooking Butter: **950 ETB / kg** • Fresh Milk: **95 ETB / liter**	0% (Dairy)	Min: 5 kg Lead: 1 day

Step 5: Create Item Categories (`/setup/categories`)

CODE	CATEGORY NAME	KIND DROPDOWN	EXAMPLES OF ITEMS
`MEAT`	Fresh Meat & Poultry	`food`	Beef fillet, carcasses, chicken, minced meat.
`VEG`	Fresh Vegetables & Produce	`food`	Red onions, garlic, ginger, tomatoes, chili.
`GRAIN`	Flour, Teff & Grains	`food`	White teff flour, rice, shiro powder.
`DAIRY`	Milk, Butter & Cheese	`food`	Fresh butter, whole milk, cottage cheese (Ayib).
`SPICE`	Spices, Oils & Seasonings	`food`	Berbere, cooking oil, salt, black pepper.
`BEER`	Bottled & Draught Beers	`beverage`	St. George, Castel, draught beer kegs.
`WINE`	Wines, Liquors & Spirits	`beverage`	Awash wine, Johnnie Walker Red, Gin.
`SOFT`	Soft Drinks & Water	`beverage`	Ambo mineral water, Coca-Cola, Sprite.
`HOT`	Coffee, Tea & Hot Drinks	`beverage`	Roasted coffee beans, tea bags.
`PACK`	Takeaway Packaging	`other`	Foil containers, paper bags, napkins.

Step 6: Register Raw Items & Products (`/setup/items`)

ITEM CODE & NAME	CATEGORY	KITCHEN UNIT	BUYING PACK & FACTOR	COST (ETB)	PREP WASTE %	PRIORITY
`RM-BEEF-FILLET` Beef Tenderloin Fillet	`MEAT`	`Kg`	Direct by Kg (Factor = 1)	1,800.00 / kg	5% (fat trim)	`Class A` (Daily)
`RM-BEEF-MINCE` Lean Minced Beef	`MEAT`	`Kg`	Direct by Kg (Factor = 1)	1,300.00 / kg	0%	`Class A` (Daily)
`RM-TEFF-WHITE` White Magna Teff	`GRAIN`	`Kg`	**Bag (50 kg)** (Factor = **50**)	130.00 / kg (6,500/bag)	2% (sifting)	`Class B` (Bi-weekly)
`RM-ONION-RED` Red Onions (Habesha)	`VEG`	`Kg`	**Sack (25 kg)** (Factor = **25**)	85.00 / kg (2,125/sack)	15% (skin/roots)	`Class B` (Bi-weekly)
`RM-BUTTER-RAW` Fresh Cooking Butter	`DAIRY`	`Kg`	**Bucket (10 kg)** (Factor = **10**)	950.00 / kg	10% (whey loss)	`Class A` (Daily)
`RM-STG-BEER` St. George Beer 330ml	`BEER`	`Bottle`	**Crate (24 btls)** (Factor = **24**)	45.00 / bottle (1,080/crate)	0%	`Class B` (Bi-weekly)
`RM-AMBO-500` Ambo Mineral Water 500ml	`SOFT`	`Bottle`	**Crate (24 btls)** (Factor = **24**)	28.00 / bottle (672/crate)	0%	`Class B` (Bi-weekly)
`RM-JW-RED` Johnnie Walker Red 750ml	`WINE`	`Bottle`	**Carton (12 btls)** (Factor = **12**)	3,200.00 / bottle	0%	`Class A` (Daily)

Step 7: Enter Opening Physical Stock (`/setup/opening-stock`)

Record what is on the shelves right now on Day 1:

- `MAIN` Store: 10 bags Teff (500 kg @ 130 ETB) = 65,000 ETB | 5 cans Cooking Oil (100 L @ 320 ETB) = 32,000 ETB
- `KITCHEN` : 25 kg Beef Fillet @ 1,800 ETB = 45,000 ETB | 50 kg Red Onions @ 85 ETB = 4,250 ETB
- `BAR` : 10 crates St. George Beer (240 bottles @ 45 ETB) = 10,800 ETB | 6 bottles JW Red @ 3,200 ETB = 19,200 ETB

Step 8: Register Menu Items (`/setup/menu-items`)

What the cash register sells to guests:

- `MI-TIBS-SPEC` - Special Beef Tibs (Food, Portion, Selling Price: 850 ETB)
- `MI-KITFO-REG` - Yeajet Kitfo Regular (Food, Portion, Selling Price: 750 ETB)
- `MI-BEER-STG` - St. George Beer 330ml (Beverage, Bottle, Selling Price: 120 ETB)
- `MI-AMBO-500` - Ambo Mineral Water 500ml (Beverage, Bottle, Selling Price: 70 ETB)

Step 9: Build Recipes & Sub-Recipes (`/setup/recipes`)

Sub-Recipe: Injera Batch (Produces 100 pcs)

• 30 kg Teff (`RM-TEFF-WHITE`) @ 130 ETB = 3,900 ETB + Yeast/Salt 150 ETB = 4,050 ETB (**40.50 ETB per 1 Injera**)

Menu Recipe: Special Beef Tibs (1 Portion)

• 0.250 kg Beef Fillet @ 1,800 ETB = 450.00 ETB
• 0.080 kg Red Onions @ 85 ETB = 6.80 ETB
• 0.030 kg Spiced Butter @ 1,100 ETB = 33.00 ETB
• 2 pcs Injera @ 40.50 ETB = 81.00 ETB + seasonings 5.00 ETB = **575.80 ETB Cost** (Selling Price: 850 ETB)

Step 10: Link Cash Register Buttons (`/setup/pos-map`)

Connect CNet POS till buttons to menu recipes: Button `101` → `MI-TIBS-SPEC` | Button `201` → `MI-BEER-STG` .

Step 11: Map POS Category to Store (`/setup/pos-stores`)

Tell the computer: Category `FOOD` depletes from `Main Kitchen` ; Category `BEVERAGE` depletes from `Main Bar` .

Step 12: Set Safety Par Levels (`/setup/stores/[id]`)

• Main Kitchen: Beef Fillet (Min = 10 kg, Max = 30 kg) | Red Onions (Min = 20 kg, Max = 60 kg)
• Main Bar: St. George Beer (Min = 48 bottles / 2 crates, Max = 240 bottles / 10 crates)

GENERAL MANAGER'S DAILY & WEEKLY ROUTINE

1. Open **Reports** (`/reports/cost-control`) every Monday morning.
2. Check **Actual Food Cost %** (should be 30%–34%) and **Actual Beverage Cost %** (18%–22%).
3. Look at **Potential Savings in Birr**: If it says 100,000 Birr lost, call the Chef and Cost Controller immediately to review portion scales and waste logs.

ROLE 2 F&B Cost Controller / Auditor (Daily Leak Hunter)

The **Cost Controller** is the financial watchdog. They make sure inventory matches money. Here is their step-by-step daily routine:

Step 1: Check Morning Delivery Price Warnings (9:00 AM)

1. Open **Purchases** (`/purchases`).
2. Review any delivery flagged with a **Price Variance Alert**.
3. If a supplier invoiced beef at 1,500 Birr instead of the contracted 1,400 Birr:
   - Reject the invoice or demand a credit note from the supplier.
   - If the GM approved the market increase, click **Authorize Price Override**.

Step 2: Review and Approve Kitchen & Bar Waste (2:00 PM)

1. Open **Waste** (`/waste`).
2. Inspect items logged by the Chef or Bartender (burnt tibs, broken beer bottles, spoiled vegetables).
3. Verify the reason. Click **Approve Write-off** to deduct the stock from the room and book the loss to the waste expense ledger.

Step 3: Conduct Surprise Blind Spot-Checks (4:00 PM)

1. Open **Physical Counts** (`/counts`) → Click **+ New Count Sheet**.
2. Select **Main Bar**, check **Blind Count Mode**, and print the sheet.
3. Walk to the bar and count 5 expensive liquor bottles (Johnnie Walker, Gin, Wine).
4. Enter the counted numbers. If variance exceeds **500 Birr or 5%**, a red warning pops up requiring the bartender to explain the shortage.

Step 4: Midnight Night Audit — Upload CNet Sales & Deplete Stock (11:30 PM)

1. Get the daily sales Excel file exported from CNet POS (`cnet_sales_export.xlsx`).
2. Open **Sales & Depletions** (`/sales/eod`).
3. Drag and drop the Excel file. The system checks that row totals equal footer totals (Gross Sales, 15% VAT, 10% Service Charge).
4. Click: **"Explode Recipes & Post Stock Depletions"**.
5. The system automatically removes all beef, onions, butter, and beer bottles sold today from the Kitchen and Bar shelves!

Step 5: Audit the Item History Card

If 5 kg of Beef Fillet goes missing, open the **Item History Card** on the dashboard. It shows every date, delivery, transfer, and sale with the exact staff member responsible.

ROLE 3 Central Storekeeper (Receiving & Warehouse Keeper)

The **Storekeeper** controls the loading dock and the central warehouse. No food leaves without paperwork!

Step 1: Receiving Morning Deliveries (Physical Scale Rule) (7:30 AM)

1. Supplier arrives at the loading dock with goods and a delivery paper.
2. **Scale Verification:** Place every box and sack on the physical scale. If the paper says 50 kg but the scale says 47 kg, write 47 kg! Never trust the supplier's paper.
3. Open **Purchases** (`/purchases`) → Click **+ New Delivery (GRN)**.
4. Select supplier (e.g. *Addis Abattoir*), enter delivery note number, physically weighed weight, and invoice price.
5. Click **Book Delivery**. Warehouse inventory increases immediately at the new moving average price.

Step 2: Checking Reorder Needs (PO Generation) (10:00 AM)

1. Check Central Store shelves against Par Levels.
2. If Teff is down to 2 bags (below minimum 4 bags), generate a **Purchase Order (PO)** to Merkato Grain for 10 bags.

Step 3: Fulfill Kitchen & Bar Requisitions (11:00 AM)

1. Open **Requisitions** (`/requests`).
2. Look at pending requests submitted by the Chef and Bar Supervisor.
3. Pick the requested items from warehouse shelves (e.g. 18 kg Beef Fillet, 5 crates of St. George).
4. Hand goods over to the cook or bar runner, and click **Fulfill & Issue Stock**.
5. Central Store stock decreases, Kitchen/Bar stock increases.

Step 4: Warehouse Evening Lockup & Cleanliness (6:00 PM)

1. Inspect meat walk-in cooler temperature (must be between 0°C and 4°C).
2. Ensure grains (Teff) are raised on wooden pallets, away from damp floors.
3. Lock the warehouse doors and return keys to the security office.

ROLE 4 Executive Chef & Kitchen Cooks (Culinary & Portion Control)

The **Chef** runs food prep, stops heavy-handed over-portioning, cuts whole carcasses, and logs burnt dishes.

Step 1: Morning Cooler Check & 1-Click Requisition (8:30 AM)

1. Open walk-in cooler and check what ingredients are low.
2. Log into the system, open **Requisitions** (`/requests`), and select **Main Kitchen**.
3. Click: ⚡ **Auto-Fill from Par Stock**. The computer calculates what is low (e.g. 18 kg beef, 45 kg onions).
4. Chef reviews and clicks **Submit Requisition**. Goods are dispatched by the storekeeper.

Step 2: Butcher Carcass Yield Tests (10:00 AM)

When the hotel buys a whole 100 kg cow carcass for 80,000 Birr (800 Birr/kg):

1. Butcher breaks down the carcass on the butcher block.
2. Weigh the primal cuts: 12 kg Tenderloin, 18 kg Ribeye, 20 kg Sirloin, 30 kg Minced Meat.
3. Weigh the byproducts: 15 kg Soup Bones (worth 150 ETB/kg = 2,250 ETB) and 5 kg Fat (worth 200 ETB/kg = 1,000 ETB).
4. Open **Production** (`/production`) → Enter weights.
5. The system subtracts the 3,250 ETB value of bones/fat from the 80,000 Birr carcass, deriving an honest meat cost of 76,750 Birr split across the prime steaks!
6. Click **Save & Execute**. The raw carcass is removed and individual prime cuts are added to the kitchen inventory.

Step 3: Execute Batch Prep Cooking (11:30 AM)

1. When baking 100 pieces of Injera or cooking 5 kg of Spiced Butter (*Niter Kibbeh*):
2. Open **Production** (`/production`) → Select **Injera Batch** → Click **Produce Batch**.
3. The computer deducts 30 kg of Teff and adds 100 finished Injeras to the kitchen stock at 40.50 Birr each.

Step 4: Logging Kitchen Waste (Immediately When It Happens)

1. If a cook burns a pan of tibs or drops raw chicken on the floor:
2. Open **Waste** (`/waste`) → Select `KITCHEN` → Choose **Special Tibs** → Enter Qty = 2 → Reason = *Burnt*.
3. *Why this matters:* Writing down burnt food proves that nobody stole the meat!

ROLE 5 Bar Manager & Bartenders (Beverage & Bottle Control)

The **Bar Manager** controls high-margin liquor, wine, and beers, ensuring every drop is accounted for.

Step 1: Daily Drink Requisition (10:30 AM)

1. Count empty beer crates. Open **Requisitions** (`/requests`) → Select **Main Bar**.
2. Click ⚡ **Auto-Fill from Par Stock** (orders 5 crates St. George, 3 crates Ambo, 2 bottles JW Red).
3. Click **Submit** and collect the crates from the Central Store.

Step 2: Checking Delivered Bottles & Caps (11:30 AM)

1. Inspect beer crates: check for cracked bottles, leaking caps, or missing bottles.
2. Check tax stamps on whiskey and wine bottles.

Step 3: Inter-Outlet Transfers (Bar ↔ Kitchen) (3:00 PM)

1. If the kitchen needs 1 bottle of white wine for cooking fish, or the bar needs 2 kg of lemons and mint from the kitchen:
2. Open **Transfers** (`/transfers`) → Select From: `BAR` → To: `KITCHEN` → 1 bottle Wine.
3. This ensures the kitchen pays for the cooking wine, not the bar!

Step 4: Logging Spillage & Broken Bottles

1. If a bottle of beer falls and smashes on the bar floor:
2. Open **Waste** (`/waste`) → Select `BAR` → Item: `RM-STG-BEER` → Qty = 1 → Reason: *Dropped / Broken*.

Step 5: Nightly Closing Bottle Count (11:00 PM)

1. Count open bottles of expensive spirits (Johnnie Walker Red, Gin, Vodka) using the tenth-ruler method (0.2, 0.5, 0.8 bottle).
2. Count full unopened bottles in the back cabinet.
3. Lock the liquor cage and deposit keys in the management safe.

ROLE 6 Purchasing Agent & Buyer (Supplier Contracts & Market Deals)

The **Purchasing Agent** negotiates wholesale pricing, monitors delivery lead times, and enforces price agreements.

Step 1: Review Warehouse Stock Shortages (8:00 AM)

1. Review Purchase Orders generated by the Storekeeper for items below minimum safety buffer.
2. Combine small orders into bulk supplier orders to get wholesale discounts and save delivery fees.

Step 2: Manage Supplier Contract Price Books (`/setup/suppliers`)

1. Open **Suppliers** → Click on a vendor (e.g. *Merkato Grain Traders*).
2. Review agreed prices:
   - If the supplier offers a seasonal discount on Teff (e.g. dropping from 6,500 to 6,200 ETB/bag), update the contract price book immediately.
   - Set the **Minimum Order Quantity (MOQ)** so the kitchen doesn't order 1 single bottle when the vendor requires full crates.

Step 3: Coordinate On-Time Deliveries

1. Call Addis Abattoir by 3:00 PM to confirm tomorrow morning's beef delivery by 7:30 AM before the kitchen starts prep.
2. Ensure delivery notes are clearly printed with purchase order reference numbers.

Summary: Daily Team Handover & Responsibility Matrix

ROLE	MORNING (OPENING)	AFTERNOON (SERVICE & PREP)	NIGHT (CLOSING & AUDIT)
1. General Manager	Review weekly Food & Beverage Cost % on dashboard.	Conduct random kitchen scale inspections.	Sign off on high-value price overrides and supplier contracts.
2. Cost Controller	Review delivery price variance alerts from yesterday.	Conduct surprise blind counts in bar & kitchen.	Upload CNet sales export on `/sales/eod` and explode recipes.
3. Storekeeper	Weigh morning deliveries on physical scale (GRN).	Fulfill par requisitions to Kitchen and Bar.	Lock central warehouse and check cooler temperatures.
4. Executive Chef	Submit 1-click Par Requisition on `/requests`.	Log butcher yield tests & batch prep cooking.	Log kitchen prep waste on `/waste` & count steaks.
5. Bar Manager	Submit beverage replenishment request.	Check bottle caps, seals, and log bottle breakage.	Count open spirit bottles and lock liquor cage.
6. Purchasing Agent	Review warehouse reorder needs & issue POs.	Update supplier contract price books.	Confirm tomorrow morning's meat & produce delivery.

QUICK COMMAND: CLEAN SLATE RESET ANYTIME

Whenever you want to wipe out practice data and start completely fresh, run in your terminal:
`npm run db:bare`
This keeps all stores and user accounts intact, with zero demo items, ready for your real hotel data!